Your Company Needs an AI Policy

Here's one you can use today.

> *69% of organisations have evidence employees are using unauthorised AI tools. 77% have pasted company data into those tools. Only 14% of UK companies actually enforce their AI policy.*

Most AI policies fail because they're written to say "no." The best policies say "yes, safely."

This template is based on the **Four-Step AI Governance Model** used when establishing AI governance for mid-market companies. It gives you a complete, practical policy you can adapt for your organisation without starting from scratch.

What you'll get

- A complete AI usage policy you can adapt
- Data classification framework
- Approved tool evaluation criteria
- A clear structure your team can follow

Time to adapt: 2 to 4 hours with your leadership team.

AI Usage Policy Template

Replace all [bracketed placeholders] with your company specifics before distributing.

1. PURPOSE AND SCOPE

This policy governs the use of artificial intelligence tools at [Company Name]. It exists to: enable employees to use AI safely and productively, protect company and client data, ensure compliance with GDPR and ICO guidance, and provide clear guidance on acceptable use. This policy applies to all employees, contractors, and third parties with access to company systems or data.

2. APPROVED AI TOOLS

TOOL	APPROVED FOR	DATA RESTRICTIONS	ACCOUNT TYPE
[e.g. ChatGPT Enterprise]	[e.g. Drafting, research, summarising]	[e.g. No client PII, no Restricted data]	[e.g. Company-managed]
[e.g. Microsoft Copilot]	[e.g. Document editing, email drafting]	[e.g. Internal data only]	[e.g. Company-managed]
[e.g. Midjourney]	[e.g. Marketing imagery only]	[e.g. No confidential content]	[e.g. Team account]

Any tool not on this list is not approved for company use. Personal AI accounts must not be used for company data.

3. DATA CLASSIFICATION

CLASSIFICATION	DESCRIPTION	AI USAGE RULES
Public	Published content, marketing materials	May use with any approved tool
Internal	Internal comms, process docs, meeting notes	May use with approved tools only
Confidential	Client data, financials, contracts, HR records	Approved tools with line-manager sign-off only
Restricted	PII, health data, legal privilege, credentials	Must not be entered into any AI tool

When in doubt, treat data as Confidential and ask your line manager.

4. ACCEPTABLE USE

Employees MAY use AI to:

- Draft and edit written content
- Summarise documents and meeting notes
- Research topics and gather information
- Generate ideas and brainstorm
- Automate repetitive formatting tasks

Employees MUST NOT:

- Paste client PII into any AI tool
- Upload confidential docs without approval
- Use personal AI accounts for company data
- Treat AI output as verified fact
- Use AI for decisions affecting people without human review
- Share AI-generated content externally without review

5. ACCOUNTABILITY

Board-level sponsor: **[Name, Title]** owns this policy and reports to the board on AI governance. Operational lead: **[Name, Title]** manages day-to-day compliance, maintains the approved tool list, and handles queries. All employees are responsible for following this policy and reporting concerns.

6. MONITORING

[Company Name] monitors AI tool usage to detect unauthorised tools, identify potential data exposure, and track adoption patterns. This is not surveillance of individual employees. Monitoring focuses on protecting company and client data.

7. REVIEW

This policy is reviewed every 6 months, or sooner when: new AI tools are adopted, relevant regulations change, a data or AI-related incident occurs, or the approved tool list is updated.

Acknowledgement

I confirm I have read, understood, and will comply with this AI Usage Policy.

Name: _____ Date: _____ Signature: _____

Adapting This Policy

This template is designed to be adapted, not used as-is. Every organisation has different risk tolerances, data types, and regulatory obligations. Here is how to make it yours.

Customisation checklist

- → Replace all [bracketed placeholders] with your company specifics
- → Add your actual approved tools to the table, with genuine data restrictions
- → Adjust data classification levels to match your industry and regulatory requirements
- → Get board-level sign-off before distributing to the organisation
- → Brief all employees in person or by video. Do not just email the PDF
- → Set a calendar reminder for the 6-month review date
- → Assign the named board sponsor and operational lead before launch

Common Mistakes

Writing a policy that only says "no." Employees will use AI anyway. A ban just pushes usage underground where you have no visibility and no protection.

Emailing the policy without briefing the team. If people don't understand why the rules exist, they won't follow them. Spend 30 minutes explaining the reasoning.

Setting it and forgetting it. AI tools change every month. A policy written in January may be outdated by July. The 6-month review cycle is not optional.

What To Do Next

Need help implementing governance? A 2-day AI diagnostic covers your governance gaps, data readiness, and provides a prioritised action plan to get your policy embedded properly.

Want ongoing governance support? A fractional CAIO engagement includes governance setup, policy implementation, tool evaluation, and ongoing oversight as part of a broader AI strategy.

About the Author

Jamie Oarton is a fractional Chief AI Officer through Bramforth AI, helping UK mid-market companies (£20M to £100M revenue) build AI strategies that actually connect to how they make money.

He has advised on AI strategy at the highest levels of UK government, military, and diplomatic services, and has delivered AI training to senior British Army officers.

Jamie works with companies that know AI matters but don't have a plan, building strategy, setting governance, and making sure AI investments deliver measurable results rather than expensive experiments.

AI Diagnostic

A 2-day audit of where you are, what's working, and what to do next.

~£2,500

Fractional CAIO

1 to 2 days per week embedded in your leadership team, building strategy, governance, and capability.

From £4,000/month

Want to Talk?

If this resource was useful and you'd like to explore whether a fractional CAIO makes sense for your business, the first conversation is always free and no-pressure.

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